BUY-SIDE EQUITY RESEARCH

Mobileye Global

The incumbent of eyes-on driving, buying an option on eyes-off

MBLY : NASDAQ | Automotive semiconductors / ADAS & autonomy

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1 EXECUTIVE SUMMARY

Market cap: US$6.5-8.5bn (source and date dispersion; see log)	Revenue FY2025: US$1,894m (+15% y/y)
Revenue H1 2026: US$1,066m (+13% y/y)	Adj. gross margin: 66% H1 2026 (GAAP 48%)
Adj. operating margin: 31% Q2 2026; 23% H1 2026	FY2026 guidance: Rev US$1,970-2,020m; Adj. op. income US$365-425m
GAAP FY2026 guide: Operating loss US$(4,154)-(4,094)m incl. US$3,788m impairment	Net cash: US$1.44bn cash and securities, zero debt
Share count: ~841m Class A + Class B (818m wtd. avg. diluted Q2 2026)	Control: Intel: ~77% economic, 96.9% of votes
HQ: Jerusalem, Israel	Fiscal year: 52/53 weeks, ends last Saturday in December

Mobileye sits one layer above the foundry and one layer below the carmaker. It designs the EyeQ system-on-chip (SoC), writes the perception and driving-policy software that runs on it, and sells the combined package almost entirely through Tier 1 automotive suppliers -- historically ZF, Valeo and Aptiv -- who integrate it into camera modules and electronic control units (ECUs) destined for original equipment manufacturers (OEMs). It does not own a fab: STMicroelectronics manufactures every EyeQ, with TSMC as the subcontracted wafer foundry. What Mobileye actually owns is the silicon architecture, twenty-seven years of validated perception software, a crowdsourced high-definition map built from the fleet itself, and the safety argumentation that lets a regulator sign off. More than 250 million vehicles have shipped with EyeQ inside.

The investment case is a valuation dislocation wrapped around a strategic question. The core business is quietly excellent -- roughly 40 million SoCs a year, 66% adjusted gross margin, US$602m of operating cash flow in 2025, net cash of US$1.44bn and zero debt -- and the market is capitalising it at an enterprise value in the region of US$5bn, or roughly 2.5x revenue, against a Chinese competitor a third its unit volume trading near 15x sales. The dislocation exists because three things are simultaneously true and unresolved: average selling price (ASP) is drifting down as Chinese OEM export volume mixes in, the founder-CEO has announced his departure with no named successor, and management has just committed to funding a capital-intensive owned robotaxi fleet against Waymo. The question this report tries to answer is whether the advanced product cycle -- Surround ADAS, Cloud-Enhanced ADAS, SuperVision, imaging radar -- lifts content per vehicle fast enough to outrun base-ASP erosion before the robotaxi build consumes the cash flow that makes the equity defensible.

Three things to hold in mind while reading. First, the headline GAAP loss is noise: the US$3,788m goodwill impairment taken in Q1 2026 was pushed down from Intel's 2017 acquisition and had nothing to do with operations. Second, roughly half of guided 2026 adjusted operating income is an Israeli government R&D grant, not commercial profit -- durable, but a different quality of earnings. Third, this is a controlled company: Intel holds 96.9% of the votes and has been a persistent seller of stock.

2 TECHNOLOGY DEEP-DIVE

ELI5 — What an EyeQ chip actually does

Imagine you had to describe everything happening on a motorway to a blind driver, out loud, thirty-six times a second, and never be wrong. Where every lane line is, which of the shapes ahead is a lorry and which is a bridge shadow, how fast the motorbike in the blind spot is closing, and what you should do about it. That is the EyeQ chip's whole job. A camera gives it a grid of brightness numbers -- no objects, no lanes, no meaning, just numbers. The chip turns numbers into meaning and meaning into a steering and braking decision, inside about 30 milliseconds, on a power budget smaller than a household light bulb, in a sealed box behind the windscreen that will sit in the Arizona sun and the Finnish winter for fifteen years without a fan.

Physically, EyeQ is an application-specific SoC, not a general-purpose graphics processing unit (GPU) repurposed for cars. That distinction is the whole engineering thesis. A GPU is built to be good at everything; EyeQ is built to be good at exactly the operations that computer-vision networks perform, and useless at the rest. The die combines a general CPU cluster for control and planning code, an image signal processor that converts raw sensor output into usable pixel data, and -- the part that matters -- several purpose-built accelerators for deep-learning inference and classical vision primitives, each with its own local memory so that data is not repeatedly shuttled to and from external DRAM. Most of the energy cost in edge inference is not arithmetic, it is moving data; by fixing the dataflow in hardware for a known set of network shapes, Mobileye buys a large performance-per-watt advantage over a programmable device, at the cost of flexibility if the algorithms change shape. That trade is why EyeQ delivers usable perception at single-digit to low-tens TOPS (tera-operations per second) where a general-purpose part is quoted at hundreds.

The current generation is EyeQ6, built on a 7-nanometre FinFET process. EyeQ6 Lite (EyeQ6L) delivers approximately 5 deep-learning TOPS at INT8 precision in a package small enough for a single-box windscreen-mounted camera unit; EyeQ6 High (EyeQ6H) delivers approximately 34 deep-learning TOPS and is the building block for everything above entry-level. Critically, Mobileye scales capability by adding EyeQ6H dice to a shared ECU motherboard rather than by designing a new chip per tier -- two for SuperVision, three for Chauffeur, four for Drive. This is the commercial heart of the architecture: one validated silicon platform, one software stack, four price points, and an upgrade path an OEM can commit to years before it knows what it wants to ship.

Two proprietary assets sit alongside the silicon. Road Experience Management (REM) is a crowdsourced mapping system in which production EyeQ chips in customer vehicles compress what they see into a few kilobytes per kilometre of semantic road data and upload it, from which Mobileye assembles and continuously refreshes a high-definition map. The economics are unusual -- the map is built as a free by-product of chips the customer already paid for, whereas a lidar-survey competitor must pay for every kilometre. Responsibility-Sensitive Safety (RSS) is a formal mathematical model defining what constitutes a safe distance and a safe response, which converts 'is the car safe?' from a statistical question into a provable one -- the argument that matters for European type-approval homologation.

The third leg is imaging radar. Conventional automotive radar uses a handful of transmit and receive channels and produces a sparse, low-resolution return -- it tells you something is there, not what shape it is. Mobileye's 4D imaging radar uses in-house radio-frequency integrated circuits (RFICs) in an architecture where the entire radar signal is digitised and processed by a dedicated proprietary processor rated at approximately 11 TOPS, producing a dense point cloud with elevation as well as range, azimuth and velocity. The strategic point is redundancy economics: if radar alone can build a scene model good enough to arbitrate against the camera, the vehicle gets a genuinely independent second opinion at radar cost rather than lidar cost. In development since 2018, it took its first eyes-off design win in 2025 -- a global automaker adopting it for SAE Level 3 highway driving from 2028.

Product line	Configuration and key specs	Competes against
EyeQ6 Lite (EyeQ6L)	~5 DL TOPS INT8, 7nm; single front camera (2MP or 8MP option); one-box windscreen unit; supports radar, driver monitoring (DMS) and occupant monitoring (OMS) add-ons	Texas Instruments TDA4, Renesas R-Car, Horizon Journey 6B, Ambarella CV2/CV3 entry parts
EyeQ6 High (EyeQ6H)	~34 DL TOPS INT8, 7nm; benchmarked by Mobileye against NVIDIA Jetson AGX Orin at lower power; basis of all higher tiers	NVIDIA Orin, Qualcomm Snapdragon Ride, Horizon Journey 6M/6P, Black Sesame
Surround ADAS	Single EyeQ6H, full or partial surround camera set; hands-on eyes-on plus expanded features; ASP quoted by management at US$100-150 with gross margin similar to base ADAS (~70%)	Bosch and Continental integrated ADAS stacks; OEM in-house on NVIDIA or Qualcomm silicon
Cloud-Enhanced ADAS	Surround ADAS plus REM map layer for hands-free highway; gross profit per unit stated as roughly equal to Surround ADAS and more than double base ADAS; Stellantis win Q2 2026	Ford BlueCruise, GM Super Cruise (both largely in-house), Qualcomm Snapdragon Ride Pilot
SuperVision	2x EyeQ6H on a shared ECU board with integrated MCU; 11 cameras plus optional radar; hands-off eyes-on point-to-point on most roads; Mobileye supplies hardware plus full stack	NVIDIA-based OEM in-house stacks (XPeng, NIO, Zeekr), Huawei ADS, Horizon SuperDrive
Chauffeur	3x EyeQ6H; adds front lidar and surround imaging radars for an independent redundancy channel; hands-off eyes-off consumer autonomy within defined operational design domains	NVIDIA DRIVE Thor L3 platforms, Bosch/Mercedes Drive Pilot, Huawei ADS 4
Drive	4x EyeQ6H; imaging radars plus front lidar; driverless robotaxi self-driving system; deployed with VW MOIA on the ID. Buzz AD and with Holon	Waymo Driver, Baidu Apollo, WeRide, Zoox, Tesla FSD (unsupervised)
Imaging Radar	Proprietary RFICs, fully digital signal chain, ~11 TOPS dedicated processor, 4D output (range, azimuth, elevation, velocity); front and surround variants	Arbe, Uhnder, Continental ARS540, Bosch premium radar, lidar as substitute redundancy
Mobileye DMS / OMS	Driver and Occupant Monitoring, runs on EyeQ6L alongside ADAS; major U.S. automaker production win March 2026, start of production 2027, multi-million units	Seeing Machines, Smart Eye, Cipia, Bosch interior sensing
Mentee Robotics	Humanoid platform (MenteeBot); v3.2 in assembly, v4 targeted for demonstration by early 2027; acquired January 2026 for US$900m	Figure AI, Agility, Tesla Optimus, Unitree, 1X

ELI5 — Why this cycle changes the demand profile

For twenty years Mobileye sold one chip per car for about fifty dollars, and the way to grow was to sell to more cars. That road is running out -- almost every new car in the West already has the box. The new road is selling four or five times as much silicon and software into the same car. A regulator in Europe now mandates safety features that need a wider view than one forward camera; a customer who has driven a hands-free car does not want to go back. So the question stops being 'how many cars?' and becomes 'how many dollars per car?' -- and that is a much better question for a company that already has the socket.

Quantitatively, the shift is a content-per-vehicle story layered on a flat-to-declining unit and price base. Base ADAS is where the pressure is: average system price, disclosed quarterly as EyeQ plus SuperVision revenue divided by systems shipped, has moved from US$51.7 in Q3 2025 to US$50.8, US$49.3 and US$48.5 in the three quarters since. Management attributes the decline principally to a higher mix of Chinese OEM export volume, which carries structurally lower ASP and lower profitability per unit than Western programmes. Volume is roughly flat to modestly up -- 35.6 million EyeQ units in 2025, guided slightly above 37 million for 2026, with 10.8 million shipped in Q1 2026 and 10.0 million in Q2, and management guiding to lower shipment volume in the second half than the first.

Against that, the advanced ladder re-prices the same socket by an order of magnitude. Surround ADAS carries a management-quoted ASP of US$100-150 against a blended system price of US$48.5 -- roughly a 2-3x step-up on content, at gross margin comparable to base ADAS, so the gross profit step-up is of similar magnitude rather than being given away on mix. Cloud-Enhanced ADAS, the configuration won with Stellantis in Q2 2026, was explicitly described as generating gross profit per unit roughly equivalent to

Surround ADAS and more than double current average base ADAS profitability. SuperVision moves further again: it is a two-chip ECU with eleven cameras where Mobileye supplies the hardware as well as the stack, so revenue per vehicle rises sharply while gross margin percentage falls -- management has repeatedly attributed adjusted gross margin compression, from 69% in Q2 2025 to 66% in Q2 2026, partly to the greater hardware content in SuperVision. This is the central margin mechanic to model: SuperVision and Drive raise absolute gross profit per vehicle while diluting the percentage, which means the reported gross margin line will look worse precisely when the mix shift is working.

The eight-year forward automotive revenue pipeline, management's own estimate of design wins already sourced, stood at US$24.5bn at year-end 2025, up 42% from the year-end 2022 update. That figure should be treated as directional rather than contracted -- it rests on OEM production volume projections supplied at the time of sourcing and on Mobileye's own price assumptions, both of which the company discloses may deviate materially. It is nonetheless the best available single measure of whether the content ladder is being climbed, and the direction of travel has been consistently up.

One second-order cost item deserves flagging because it links this name to the broader memory cycle: management disclosed in Q1 2026 that incremental DRAM costs on SuperVision ECUs are being passed through to customers. AI-driven demand has tightened supply for exactly the components Mobileye needs for its higher-content products. Pass-through protects the margin percentage but raises the delivered system price at the moment Mobileye is trying to persuade OEMs that hands-free driving is affordable in a mass-market vehicle.

3 SUPPLY CHAIN MAPPING

ELI5 — Where Mobileye sits in the chain

Think of a restaurant that writes the recipes, owns the brand, and is famous for the dish -- but does not own a kitchen. One contract kitchen cooks every plate. That kitchen, in turn, rents its ovens from one landlord on an island in a geopolitically tense strait. The food is then delivered not to diners but to three catering companies, who plate it up and sell it onward. Mobileye is the recipe writer. STMicroelectronics is the kitchen. TSMC is the oven landlord. ZF, Valeo and Aptiv are the caterers. Mobileye controls the thing that is hardest to copy and almost none of the things that can physically stop the plates arriving.

Mobileye is fabless and, unusually, does not contract directly with a foundry for its core product. It designs the front end of the EyeQ SoC; STMicroelectronics designs the back-end package and owns manufacturing, testing, quality assurance, failure analysis and customer care. Every EyeQ integrated circuit is manufactured by, or outsourced to a partner foundry by, STMicroelectronics. Seven generations have been co-developed under this arrangement. For EyeQ5 and EyeQ6 the actual wafers are fabricated by TSMC on a 7nm FinFET automotive process that ST and TSMC developed jointly, with advanced packaging also concentrated in a limited supplier set that includes TSMC. Mobileye's own filings state the position plainly: it is substantially reliant on timely shipments of EyeQ SoCs from STMicroelectronics and ECUs from Quanta Computer, and notes it may in future become directly reliant on TSMC.

Input / component	Supplier(s)	Single-source?	Risk note
EyeQ SoC manufacture, packaging, test	STMicroelectronics (Switzerland/Italy/France)	Yes	Sole manufacturing partner across seven generations. No qualified second source for current products. Automotive requalification of an alternative would take years, not quarters.
Wafer fabrication (EyeQ5, EyeQ6)	TSMC, 7nm FinFET automotive process (subcontracted by ST)	Effectively yes	Mobileye has no direct contractual relationship. Taiwan concentration; company explicitly flags earthquake, drought, typhoon, cross-strait military escalation and trade restriction.

Input / component	Supplier(s)	Single-source?	Risk note
ECUs for SuperVision / Chauffeur / Drive	Quanta Computer (Taiwan), plus other suppliers	Primary, not exclusive	Named alongside ST as a stated reliance. Adds a second layer of Taiwan exposure precisely on the high-content products carrying the growth thesis.
DRAM for advanced ECUs	Merchant memory market	No	Cost inflation from AI-driven demand disclosed Q1 2026 and being passed through to customers. Protects margin percentage; raises delivered system cost in price-sensitive segments.
Imaging radar RFICs	Mobileye-designed; foundry undisclosed	Unclear	In-house RFIC design is a differentiator versus buying merchant radar front ends, but manufacturing arrangements are not separately disclosed. Treat as an unmapped dependency.
Lidar for Chauffeur / Drive	Innoviz (VW ID. Buzz AD programme); others by programme	No	Mobileye discontinued internal FMCW lidar development and buys externally. Supplier financial durability in a consolidating lidar sector is a live question.
Image sensors	Merchant automotive CMOS sensor vendors	No	Commodity relative to the rest of the chain; 8MP migration raises bill of materials but supply is genuinely multi-sourced.
Route to market	Tier 1 integrators: ZF, Valeo, Aptiv	Concentrated	Revenue recognised on shipment to Tier 1s, not on vehicle build. This is why inventory cycles at three intermediaries dominate quarterly revenue more than end demand does.

Three concentration risks compound rather than diversify. The first is manufacturing: a single partner for every unit of the core product, with the actual fab a further step removed and located in Taiwan. Mobileye cannot dual-source EyeQ6 on any commercially relevant timeframe, because automotive qualification of a new process and package is a multi-year exercise and because the design is co-owned with ST. The second is geographic: Mobileye's engineering base is in Jerusalem, and the company disclosed that around 7% of its Israeli employees had been called to reserve military duty amid regional conflict, with operations not materially affected to date -- an important qualifier that could change. The third is customer-side: the Tier 1 layer means Mobileye's reported revenue is a function of three intermediaries' inventory policy. The 2023-24 episode, in which Tier 1s were estimated to be holding six to seven million excess EyeQ units, and the Q4 2025 quarter in which revenue fell 9% on an 11% volume decline attributed to inventory normalisation, are both demonstrations of the same mechanism rather than separate events.

Input cost sensitivity is modest at the base-ADAS level and rising at the advanced level. A single-die 7nm part sold at roughly US$48 has meaningful absorption capacity against wafer price moves. A SuperVision ECU with two dice, an MCU, DRAM, eleven camera modules and, on Chauffeur and Drive, radar and lidar, is a bill-of-materials business with a much thinner cushion -- which is the mechanical reason adjusted gross margin falls as the advanced mix rises, independent of pricing power.

4 COMPETITIVE LANDSCAPE

ELI5 — Who Mobileye is actually fighting

There are two different fights, and confusing them is the most common mistake in this name. Fight one is against other chip sellers -- NVIDIA, Qualcomm, Horizon -- and Mobileye's own management has said this is not the real one. Fight two is against its own customers. A carmaker that buys NVIDIA silicon and writes its own software has not chosen NVIDIA over Mobileye; it has chosen to do the job itself and bought a blank canvas to do it on. Mobileye sells a finished painting. Every year, some carmakers decide painting is a core skill and some decide it is not, and Mobileye's revenue is the running score of that argument.

Company	HQ	Revenue (latest FY)	Position / share	Key differentiator	Weakness vs. Mobileye
Mobileye (MBLY)	Jerusalem, IL	US$1,894m FY2025 (+15%); H1 2026 US$1,066m	Global ADAS SoC leader; ~35.6m units 2025; est. 10-15% of AV/ADAS SoC value; part of a top-5 group holding ~69% share in 2025	Only vendor supplying validated silicon plus full stack plus REM crowdsourced map plus RSS formal safety model as one package; 250m+ vehicles of field data	-- (subject company)
NVIDIA (NVDA) auto	Santa Clara, US	Automotive segment materially smaller than Mobileye's total but growing fast; group revenue is orders of magnitude larger	Dominant in premium L2+/L3 and robotaxi compute (Orin, Thor)	Enormous raw compute, CUDA toolchain and simulation ecosystem; the default choice for an OEM that wants to write its own stack	Sells a platform, not an outcome; OEM bears validation, mapping and safety-case cost. Higher power and cost per function for equivalent base-ADAS tasks.
Qualcomm (QCOM)	San Diego, US	Automotive within a much larger group; Snapdragon Digital Chassis scaling	Estimated mid-single-digit share of AV SoC value; strong and growing	Cockpit-plus-ADAS convergence on one platform; deep OEM relationships from infotainment; cost and integration advantages when both domains are bought together	Perception software maturity and validated field data are far behind; Snapdragon Ride Pilot leans on partners for the driving stack.
Horizon Robotics (9660.HK)	Beijing, CN	RMB3,758m FY2025 (~US$545m, +57.7%); net loss RMB10,469m	#1 in China domestic-brand basic ADAS at 47.7%; #2 in mid-to-high-end at 14.4% behind Huawei; 4.01m Journey units in 2025	Cost and speed in the Chinese market; Journey 6 spans 18-560 TOPS; 44%+ share of the sub-RMB200k NOA segment	Roughly one-ninth of Mobileye's unit volume and effectively no Western OEM core programmes; R&D at 137% of revenue; overseas wins limited to Chinese-brand exports.
Huawei	Shenzhen, CN	Not separately disclosed	#1 in China mid-to-high-end intelligent driving at ~15.2%	Vertically integrated sensors, MDC/Ascend compute and software, plus brand pull with Chinese consumers	Effectively barred from Western OEM programmes by export controls and procurement policy; not a bidder for the sockets that generate most of Mobileye's revenue.
Ambarella (AMBA)	Santa Clara, US	US$390.7m FY2026 (record); Edge AI ~80% of revenue	Niche in automotive perception SoCs; broad in security and industrial edge	Strong power-efficiency in edge inference; diversified beyond automotive into security, robotics and industrial	Sub-scale in automotive design wins; supplies silicon without a validated driving stack, mapping layer or safety argumentation.
OEM in-house (Tesla, XPeng, NIO, Zeekr)	Various	n/a	Rising share of premium volume, concentrated in China and at Tesla	Full control of the roadmap; hardware-software co-design; no supplier margin; data flywheel from own fleet	Enormous fixed engineering cost that only amortises at very high volume; most mass-market OEMs that attempted it have retained or returned to suppliers for base and mid-tier ADAS.
Bosch / Continental	Germany	ADAS divisions in the low single-digit EUR billions	Large installed base in integrated ADAS modules	Deep OEM procurement relationships, mechatronic integration, braking and steering actuation ownership	Historically a consumer of third-party perception silicon rather than an originator; Mobileye has been displacing legacy competitor solutions at its top-10 customers.

The moat is not the chip. Any competent design team with TSMC access can build a 34-TOPS automotive inference part; several have. The moat is the four things wrapped around it that cannot be bought. First, validated field data at a scale nobody else has -- 250 million vehicles, and a perception stack tuned against edge cases accumulated since 1999. Second, REM: a self-refreshing high-definition map funded by chips the customer already paid for, which means Mobileye's mapping cost per kilometre falls as its installed base grows while a survey-based competitor's does not. Third, the safety argumentation -- RSS plus the documentation trail that gets a system through European homologation, which management has explicitly described as a competitive moat protecting the VW programme relative to the self-certification regime in the United States. Fourth, switching cost: an OEM that has designed a vehicle electrical architecture around a Mobileye ECU, validated it, and homologated it, faces a multi-year programme to change, and Mobileye has been winning above 95% of the ADAS programmes awarded by its top customers.

The most credible threat to that moat is not NVIDIA and not Horizon Robotics. It is the combination of Chinese OEM export volume and the end-to-end learned driving model. The first is already visible in the numbers: Chinese OEMs buy at lower ASP and lower profitability, and management has explicitly identified higher-than-expected China export mix as the cause of ASP falling from US$51.7 to US$48.5 over four quarters. As Chinese brands take global share, Mobileye's blended economics degrade even when it wins the socket. The second is more existential. Mobileye's architecture is a compound system -- separate perception, mapping, driving-policy and formal-safety modules, each individually verifiable, which is what makes RSS and homologation possible. Tesla's approach, and increasingly XPeng's and Huawei's, replaces that with a single end-to-end network trained on fleet video. If end-to-end proves durably superior on capability, Mobileye's modular verifiability becomes a liability rather than an asset, and REM's value falls because an end-to-end model needs no prior map. Mobileye has hedged with its 'Compound AI' framing -- claiming line-of-sight to roughly 100x the camera-only mean-time-between-failure of EyeQ5 High on EyeQ6H-based ECUs -- but this is the technology risk that would break the thesis rather than merely dent it.

5 MANAGEMENT & GOVERNANCE

Prof. Amnon Shashua co-founded Mobileye in 1999 and has been Chief Executive Officer and President since 2017, having served as an Intel Senior Vice President from 2017 to 2022 following the acquisition. He holds the Sachs Chair in Computer Science at the Hebrew University of Jerusalem, received the Israel Prize in 2023 and was named to the 2025 TIME100 AI list. On 18 July 2026 he informed the board of his intention to step down as CEO upon the appointment of a successor, after 27 years. The board has engaged an executive search firm, Shashua remains a director, and has been offered the chairmanship once a successor is in place, with a stated focus on long-term technology direction including humanoid robotics. The company stated there was no disagreement over operations or policy; Intel's CFO David Zinsner publicly reaffirmed support. Shashua's own framing on the call was that the company had reached a point where it needed a different kind of leader.

The succession is the single most important governance variable in the name, and it cuts both ways. Shashua is a serial founder -- OrCam, AI21 Labs, One Zero Digital Bank, Mentee Robotics, and AAI Technologies, the last co-founded in 2024 with Mobileye's CTO Shai Shalev-Shwartz with a stated mission around superintelligence. A reasonable reading is that an outgoing founder is handing a maturing operating business to a professional operator while retaining the technology voice; a less charitable reading is that the founder's attention has been distributed across at least five ventures for some years and is now formalising that. What is not in dispute is that the incoming CEO will inherit an unresolved strategic commitment -- an owned robotaxi fleet -- that they did not make.

Moran Shemesh Rojansky has been Chief Financial Officer since September 2023, having joined Mobileye in 2016 as Corporate Controller and progressed through Director of Finance, VP Finance and Acting CFO. Prior to Mobileye she was head of consolidation and reporting at Tnuva and a senior manager in PwC Israel's accounting consulting group; she is a licensed CPA with an MBA and a BA in accounting and law from Tel Aviv University. She succeeded Anat Heller, who stepped down in June 2023 for personal reasons. Prof. Shai Shalev-Shwartz is CTO and the intellectual co-author of RSS.

Guidance track record is good and improving. FY2025 revenue of US$1,894m came in slightly above the high end of prior guidance, with adjusted operating income of US$280m up 45% and margin up roughly 300bps. In FY2026 management has raised guidance twice -- the midpoint by 2% at Q1 and by a further 1%

at Q2, with the range narrowed -- and beat consensus revenue in both quarters (US$558m against approximately US$516m in Q1; US$508m against approximately US$481-490m in Q2). Adjusted EPS has beaten in three of the last four quarters. The 2026 volume framework set in January -- slightly above 37 million EyeQ units, top-10 customer production down around 2% while Mobileye volume with them rises around 6% -- has so far proved conservative, with Q2 EyeQ volume up 3% and outperforming top-10 customer production by more than eight percentage points.

Capital allocation has changed character in 2026, and not entirely comfortably. The company has never paid a dividend post-IPO and carries no debt. In January 2026 it agreed to acquire Mentee Robotics for US$900m -- US$612m in cash plus stock, with US$591m of net cash actually paid out in Q1 -- for a company with no reported revenue that had raised roughly US$17-40m and was valued at approximately US$162m in a March 2025 financing round. In April 2026 the board authorised a repurchase programme of up to US$250m, explicitly framed as offsetting dilution from share-based compensation and the Mentee stock consideration rather than as a valuation call; US$24m had been deployed by the end of Q2 at an average price of US$9.37. Separately, the company repurchased US$100m of Class A stock directly from Intel at US$16.05 per share -- a transaction that, with hindsight and the stock near US$9, transferred value from minority holders to the controlling shareholder.

Governance requires a hard look. Intel holds 50,000,000 Class A shares and all 597,768,015 Class B shares, which carry ten votes each: approximately 77.0% of outstanding common stock and 96.9% of voting power as of 28 March 2026. Mobileye is a controlled company under Nasdaq rules and relies on the associated exemptions, so not all key board committees are fully independent, and Intel can elect the entire board. Minority holders have no practical mechanism to influence outcomes. Layered on top is the Mentee transaction, which is a related-party deal of unusual scale: Shashua was Chairman, co-founder and the largest shareholder of Mentee and received approximately US$341m -- about 38% of total consideration -- half in cash and half in Mobileye stock; CTO Shalev-Shwartz received approximately US$118m; and Shashua's son and son-in-law, both Mentee employees, received consideration for vested and unvested options. The process protections were real -- Shashua recused himself, a strategic transaction committee of four disinterested directors (two independent) recommended it, the Audit Committee approved it under the Related Persons Transaction Policy, and Intel approved it as sole Class B holder -- but a committee negotiating against the sitting CEO of a controlled company is a structurally weak counterparty, and the price represents a very large step-up from the last independent valuation of the target.

Insider ownership by management is immaterial in economic terms and that is a structural feature of a controlled company rather than a signal. Shashua's directly reported holding was approximately 4.08 million shares per his most recent Form 4 activity, having bought 631,963 shares in the open market in August 2024 -- a genuine cash purchase and the most recent meaningful insider buy. The CFO held 443,479 Class A shares following a 212,992-RSU grant on 10 July 2026 vesting 25% at each of the first four six-month anniversaries. Institutional holders of the Class A float include Baillie Gifford at 3.41% of the class as of February 2026. The dominant insider transaction of the past two years is Intel's own selling: a secondary of 50 million Class A shares at US$16.50 in July 2025 alongside a 45-million-share offering, and the conversion of 113.7 million Class B shares into Class A -- roughly US$1bn realised at approximately US$16 per share, well above the current price.

Assessment: competent and credible on execution, aligned only partially on capital. The operating record -- guidance beats, share gains at top-10 customers, above-95% ADAS programme win rates, cash generation -- supports the competence claim without qualification. Alignment is the weaker leg. A controlled company whose founder-CEO sold the board his own private company for US$900m in the same year the shares fell to an all-time low, while the controlling shareholder exited stock near US$16 and the company bought some of it back at that price, is a structure in which minority interests are third in the queue. That does not make the equity uninvestable; it does mean the governance discount embedded in the multiple is rational rather than an anomaly to be arbitraged.

6 FINANCIAL TRAJECTORY

ELI5 — Reading these numbers without being misled

This company's official profit figure for the first half of 2026 is a loss of nearly four billion dollars. It did not lose four billion dollars. When Intel bought Mobileye in 2017 it paid far more than the assets were worth on paper, and accountants parked the difference on Mobileye's own balance sheet as an asset called goodwill. When the share price fell, the accountants had to mark that parked number down. No cash moved. Cash actually went up. So read two lines and largely ignore the rest: the adjusted operating margin, which is what the business earns, and the operating cash flow, which is what it collects.

Period	Revenue (US$m)	GAAP gross margin	Adj. gross margin	Adj. op. margin	Adj. diluted EPS	Avg. system price
FY2023	2,079	n/d	n/d	n/d	n/d	n/d
FY2024	~1,647 (derived)	n/d	n/d	~12% (derived)	n/d	~US$50.0 (Q4)
FY2025	1,894 (+15%)	n/d	n/d	15% (adj. op. inc. US$280m, +45%)	n/d	n/a
Q2 2025	506	50%	69%	21% (US$106m)	US$0.13	US$49.7
Q3 2025	~504 (derived)	n/d	n/d	n/d	n/d	US$51.7
Q4 2025	446 (-9%)	45%	n/d	9%	US$0.06	US$50.8
Q1 2026	558 (+27%)	n/d	n/d	17% (US$95m)	US$0.12	US$49.3
Q2 2026	508 (flat)	46%	66%	31% (US$155m)	US$0.19	US$48.5
H1 2026	1,066 (+13%)	48%	66%	23% (US$250m)	US$0.31 (sum)	n/a
FY2026 guide	1,970 - 2,020 (+4-7%)	n/g	n/g	~19-21% (adj. op. inc. US$365-425m)	n/g	n/g

The shape of the business is a flat top line with a sharply improving margin, and the margin improvement is only about half operational. Q2 2026 adjusted operating income of US$155m was up 46% year on year on revenue that was flat, taking adjusted operating margin to 31% from 21%. The dominant driver was the Israeli Law for the Encouragement and Incentivization of Research and Development 2026, enacted during the second quarter and applied retroactively from the start of the year, which allowed Mobileye to recognise approximately US$110m GAAP and US$93m non-GAAP as an offset to Q2 research and development expense covering the whole first half. For the full year, management has incorporated US$197-217m GAAP and US$180-200m non-GAAP. Set against guided adjusted operating income of US$365-425m, this means roughly half of 2026 adjusted operating profit is a government grant. Management's own framing was that the law raises the margin baseline sustainably -- it has no scheduled expiration and was enacted alongside Israel's implementation of the OECD Pillar Two global minimum tax to offset the resulting higher tax burden. Stripping the one-time catch-up, first-half adjusted operating margin was 23%, up six points year on year, which is the cleaner underlying number.

Gross margin is moving the other way and for structural reasons. Adjusted gross margin fell from 69% in Q2 2025 to 66% in Q2 2026, attributed to a modest EyeQ ASP reduction on higher China volumes and to a larger share of SuperVision revenue, which carries greater hardware content. GAAP gross margin of 46% differs from adjusted almost entirely because of approximately US$97m per quarter of amortisation of acquired intangibles -- again a legacy of the 2017 Intel transaction, not an operating cost. Investors should expect the GAAP-to-adjusted gap to persist for years: intangible assets stood at US$1,067m at the half-year, amortising at roughly US$227m annually, with a further US$128m added by the Mentee acquisition.

Cash generation is the strongest part of the story and the reason the equity has a floor. Operating cash flow was US$602m in 2025, up 51%, and US$210m in H1 2026 against capital expenditure of US$51m. The balance sheet at 27 June 2026 carried US$1,311m of cash and equivalents plus US$132m of marketable securities and deposits -- US$1.44bn -- against total liabilities of US$628m and zero debt, with a current ratio above six. Total equity is US$8,210m but that figure is not meaningful for valuation: it still contains US$4,911m of residual goodwill pushed down from Intel, reduced from US$8,200m by the Q1 impairment.

Balance sheet items to flag. First, the residual goodwill: US$4.9bn remains and management has explicitly disclosed in its risk factors that sustained low share price and market capitalisation may require further testing and further impairment. A second charge would be non-cash and largely irrelevant economically, but it would produce another headline loss and another set of alarming screens. Second, cash fell US$524m in the half, driven almost entirely by the US$591m net outflow for Mentee Robotics -- the company traded roughly a third of its net cash for a pre-revenue humanoid robotics business. Third, dilution: weighted average diluted shares rose from 812m to 818m year on year, with share-based compensation guided at US$396m for 2026 against a US$250m buyback authorisation of which only US$24m had been used by quarter-end. On current run-rates the buyback does not fully offset dilution. Fourth, inventories of US$310m and receivables of US$208m -- receivables up US$77m in the half -- are worth monitoring given that the Tier 1 channel has twice produced destocking-driven revenue declines.

Medium-term targets: management has not published a formal multi-year model. The operative long-term anchors are the US$24.5bn eight-year automotive revenue pipeline disclosed at year-end 2025, the stated ambition to be a comprehensive leader in Physical AI across autonomous vehicles and humanoid robotics, and the robotaxi scaling path of roughly 100 vehicles in 2027 rising to approximately 17,000 over the following five years. None of these carries a revenue or margin target attached, which is itself informative about the level of visibility.

7 CATALYSTS & RISKS

Catalyst	Timing	Impact	Probability
Q3 2026 results	~22 Oct 2026 (est.)	First read on whether ASP stabilises above US$48.5 as guided H2 volume decline collides with rising advanced-product mix. Also the first quarter with a clean, non-catch-up R&D Law contribution, revealing the true recurring margin baseline.	High (occurrence certain; direction unknown)
CEO appointment	H2 2026 - H1 2027	An external operator with robotaxi or automotive-scale credentials would likely be read as strategy continuity plus execution discipline. An internal technologist would be read as continuity of the founder's capital plans. A prolonged vacancy is the worst outcome.	High
Porsche SuperVision start of production	Near term (guided as imminent at Q1 2026)	First premium Western SuperVision launch outside the Chinese programmes; validates the high-content ladder in the segment that pays for it.	High
MOIA / VW ID. Buzz AD commercial driverless launch	2026 - 2027	Public user testing began in Hamburg with safety drivers. Removal of the safety driver under European homologation would be the strongest available proof that the compound-AI plus RSS safety case works where it is hardest.	Medium
Owned robotaxi fleet launch, ~100 vehicles, one U.S. metro	Phased through 2027	Converts Mobileye from supplier to operator. Opex and capex step-up ahead of any revenue; the market will price the cash burn before it prices the option.	Medium
Stellantis Cloud-Enhanced ADAS and REM, plus Mahindra Surround ADAS	From 2027	Volume ramp of the products carrying US$100-150 ASP and more than double base ADAS gross profit per unit. This is the mix shift the thesis requires.	High
DMS programme with major U.S. automaker	SOP 2027	Multi-million-unit in-cabin sensing attach on EyeQ6L; incremental content on sockets already held, at low incremental cost.	High

Catalyst	Timing	Impact	Probability
Imaging radar L3 programme	SOP 2028	First eyes-off design win for the in-house radar. Proves the redundancy-at-radar-cost thesis and opens a second silicon product line with its own ASP.	Medium
Year-end pipeline update	Jan 2027, with Q4 results	The US$24.5bn eight-year pipeline is refreshed annually. Direction and magnitude of change is the cleanest single indicator of whether the content ladder is being climbed.	High
Mentee humanoid v4 demonstration	Early 2027	First substantive public evidence on whether US$900m bought a real platform. Currently a pure narrative line item with no revenue.	Medium
Further Intel stake disposal	Any time	Intel sold ~US$1bn at ~US$16 in July 2025. Further supply at current levels would pressure the stock; a full strategic exit or sale of the stake to a third party would remove the single largest structural overhang.	Medium

Risk 1 -- Intel is a motivated seller of 77% of the company.

Intel Overseas Funding Corporation holds 50,000,000 Class A and all 597,768,015 Class B shares. Intel has been consistently monetising: a 45-million-share offering and a 50-million Class A secondary priced at US$16.50 in July 2025, roughly US$1bn realised at approximately US$16.05, and the conversion of 113.7 million Class B shares into Class A expressly to enlarge the tradable float. With Mobileye now trading near US$9, Intel is sitting on a position it has shown a willingness to sell at nearly double the current price, under its own well-documented balance-sheet pressures. Every rally in MBLY is therefore met by a rational seller with 650 million shares and a public track record of using strength to exit. This is not a theoretical overhang; it is the single most reliable mechanical cap on the multiple.

Risk 2 -- Chinese OEM export mix is deflating ASP faster than the content ladder is inflating it.

Average system price has fallen four quarters running: US$51.7, US$50.8, US$49.3, US$48.5. Management has attributed this specifically and repeatedly to higher-than-expected Chinese OEM export volume, which converts at lower revenue per unit and lower profitability than Western sales. This is not a pricing concession Mobileye chose; it is the arithmetic of BYD, Geely and Chery taking global share from Volkswagen, Stellantis and Ford. Management also guided China OEM volume conservatively on grounds of low visibility and volatility. The risk is that Mobileye wins the socket, grows units, and still sees revenue per vehicle fall -- which is precisely what Q2 2026 was: 3% unit growth, flat revenue. If Surround and Cloud-Enhanced ADAS ramp more slowly than Chinese mix builds, the company grows units into a shrinking revenue base.

Risk 3 -- one manufacturing partner, one fab, one island.

Every EyeQ SoC is manufactured by STMicroelectronics, which subcontracts wafer fabrication of EyeQ5 and EyeQ6 to TSMC on a 7nm automotive process the two developed jointly, with advanced packaging also concentrated in a limited supplier set. Mobileye has no direct foundry relationship and no qualified second source; automotive requalification of an alternative process and package is a multi-year exercise. Its own filings name cross-strait military escalation, earthquakes, drought and typhoons in Taiwan as specific risks to supply, and note the additional reliance on Quanta Computer -- also Taiwanese -- for the ECUs used in SuperVision, Chauffeur and Drive. A disruption at ST or TSMC does not reduce Mobileye's revenue; it stops it.

Risk 4 -- the robotaxi commitment is a capital allocation decision made by a departing CEO.

In June 2026 Mobileye announced it would move beyond supplying self-driving systems to owning and operating an autonomous ride-hailing business, launching approximately 100 vehicles in a major U.S. metropolitan area in 2027 and targeting roughly 17,000 vehicles over the following five years. One month later the CEO who announced it said he would step down. The economics are unproven and adversarial:

Waymo, carrying a valuation around US$45bn, has spent well over a decade and many billions to reach commercial scale in a handful of cities, and Tesla is attacking the same market with a lower-cost hardware stack and a captive vehicle supply. Mobileye brings the driving system, Moovit's rider-facing and fleet software, and US$1.4bn of net cash; it brings no depot network, no fleet operations experience, no vehicle assembly, and an unnamed vehicle platform. There is also channel conflict -- Mobileye will compete with MOIA and Holon, the very customers it supplies Drive to, a tension management addressed rhetorically ('an extension, not a replacement') rather than structurally.

Risk 5 -- half of 2026 adjusted operating profit is an Israeli government grant.

The R&D Law contributes US$180-200m non-GAAP against guided adjusted operating income of US$365-425m. Management is right that the law has no scheduled expiry and was enacted as a deliberate offset to OECD Pillar Two, so it is more durable than a typical incentive. But it is a legislative act of a single government operating under acute fiscal and security pressure, and its accounting behaviour is lumpy -- management explicitly flagged potential volatility in the quarterly recognition of the incentive. An investor paying a multiple of adjusted operating income is paying a multiple of a number that is roughly half sovereign policy. The correct treatment is to model the commercial margin separately and decide explicitly what multiple the grant deserves.

Risk 6 -- related-party capital allocation in a company with no minority protections.

The Mentee Robotics acquisition paid US$900m for a pre-revenue business last independently valued around US$162m, with approximately US$341m going to the CEO, US$118m to the CTO, and further consideration to the CEO's son and son-in-law. The procedural safeguards were observed, but Mobileye is a controlled company relying on Nasdaq exemptions, its committees are not fully independent, and Intel -- the approver of last resort -- had its own reasons to keep the founder engaged. Minority shareholders have 3.1% of the votes between them. The specific forward risk is repetition: Shashua has founded at least five other ventures, including AAI Technologies with the same CTO, and a chairman focused on 'long-term technological trends' sitting above a newly appointed CEO is a structure in which further founder-adjacent acquisitions are plausible.

Risk 7 -- Tier 1 inventory whipsaw makes reported revenue a poor proxy for demand.

Mobileye recognises revenue on shipment to ZF, Valeo and Aptiv, not on vehicle build. In 2023-24 those intermediaries were estimated to be holding six to seven million excess EyeQ units, producing a collapse and then an 83% year-on-year rebound in Q1 2025 that reflected restocking rather than demand. Q4 2025 revenue fell 9% on an 11% volume decline explicitly attributed to tighter-than-normal Tier 1 inventory. Management has now guided to lower shipment volume in H2 2026 than H1. Any single quarter therefore carries limited information about the underlying business, and the stock's tendency to move sharply on quarterly prints is a recurring source of both risk and opportunity.

Risk 8 -- end-to-end learned driving could obsolete the modular architecture.

Mobileye's technical and regulatory advantages -- REM maps, RSS formal safety, individually verifiable perception and policy modules -- all presuppose a compound system. Tesla's unsupervised FSD, XPeng's in-house stack and Huawei's ADS pursue a single end-to-end network trained on fleet video, which needs no prior map and offers no module to verify. If that approach establishes a durable capability lead, REM's cost advantage becomes irrelevant and RSS becomes a compliance artefact rather than a moat. Mobileye's counter is Compound AI, with a claimed line-of-sight to roughly 100x the camera-only mean-time-between-failure of EyeQ5 High -- a strong claim, but one made by the incumbent about its own architecture.

8 VALUATION CONTEXT

Company	Market cap	Revenue (latest FY)	EV / sales	Earnings multiple	Revenue growth	End-market exposure
Mobileye (MBLY)	US$6.5-8.5bn (dispersion)	US$1,894m FY2025; FY2026 guided US$1,970-2,020m	~2.5-3.5x on FY2026 guidance (net cash US$1.44bn)	~17-22x FY2026 adj. EPS (est.); GAAP negative	+15% FY2025; +4-7% guided FY2026	Global ADAS via ZF/Valeo/Aptiv to 50+ OEMs; growing China export mix; early robotaxi and humanoid optionality
Ambarella (AMBA)	~US$3.0-4.4bn (rose sharply late Jul 2026 on FT report of NXP acquisition talks)	US$390.7m FY2026	~7-11x depending on date used	Negative (US$(75.9)m TTM loss)	+37% FY2026	Edge AI across security, IoT, industrial and robotics; automotive a minority; less exposed to auto production cycles, more to enterprise edge
Horizon Robotics (9660.HK)	~HK$97bn (~US$12.4bn)	RMB3,758m FY2025 (~US$545m)	~15x sales	Negative (RMB10,469m FY2025 net loss; R&D at 137% of revenue)	+57.7% FY2025; management targets ~60% p.a.	Almost entirely Chinese domestic OEMs; #1 in domestic-brand basic ADAS at 47.7%; overseas confined to Chinese-brand exports

The comparison is stark enough to be the whole valuation discussion. Mobileye ships roughly nine times Horizon Robotics' unit volume, generates roughly three and a half times its revenue, produces positive adjusted operating income and US$600m of annual operating cash flow, and trades at roughly a fifth of Horizon's sales multiple. Ambarella, at a fraction of Mobileye's revenue and loss-making, commands two to four times the sales multiple. The market is not valuing these companies on current economics; it is valuing narrative slope. Horizon is priced as a compounder inside a protected domestic market; Ambarella is priced as a physical-AI pure play and now as an acquisition candidate; Mobileye is priced as an automotive component supplier with a governance problem. Whether that is an error or an accurate reading of terminal value is the question the position turns on.

Bull case.

The bull case does not require the robotaxi business to work. Strip it out, and you own a business with an EV near US$5-7bn generating approximately US$2bn of revenue at a 66% adjusted gross margin, with a 23% underlying adjusted operating margin before the R&D Law catch-up, US$600m of annual operating cash flow, US$1.44bn of net cash, no debt, and a socket in more than 250 million vehicles that it wins above 95% of the time at its top customers. The content ladder is the earnings engine: Surround ADAS at US$100-150 against a US$48.5 blended system price, Cloud-Enhanced ADAS at more than double base ADAS gross profit per unit with Stellantis now signed, DMS attaching to sockets already held, and a US$24.5bn eight-year pipeline that has grown 42% since 2022. If ASP stabilises around US$48-50 and the advanced mix ramps from 2027 as scheduled, revenue can compound at high single digits with adjusted operating margin moving toward the high twenties on a commercial basis and into the thirties with the R&D Law. That is a business worth substantially more than 3x sales, and any of four separate catalysts -- a credible external CEO, a clean pipeline update in January 2027, removal of the safety driver at MOIA, or resolution of the Intel overhang -- could force a re-rate. The imaging radar L3 win from 2028 and the Mentee humanoid platform are free options at this price.

Bear case.

The bear case is that Mobileye is a melting ice cube being spent on a lottery ticket. ASP has fallen four consecutive quarters, from US$51.7 to US$48.5, because the customers gaining global share are Chinese OEMs who pay less and generate less profit per unit -- a mix shift that structurally worsens as those brands grow. Q2 2026 delivered 3% unit growth and zero revenue growth, which is what the end state looks like. Roughly half of 2026 adjusted operating income is an Israeli government grant, so the commercial margin is far thinner than the 31% headline. Against that eroding base, management has spent US$591m of net cash on a pre-revenue humanoid business owned by the CEO, and committed to funding an owned robotaxi fleet against Waymo and Tesla -- a business requiring depots, vehicles, remote operators and regulatory approval in every city, none of which Mobileye has ever done. The CEO who made both decisions is leaving. Intel, with 77% of the equity, has demonstrated it will sell at US$16 and above. The 2017 goodwill has already been written down by US$3.8bn and US$4.9bn remains at risk. In this reading, adjusted operating income drifts toward the low twenties as a percentage while robotaxi opex scales, free cash flow turns negative in 2027-28, the net cash cushion erodes, and the stock trades on 2x sales with no earnings support -- which from a US$5-7bn enterprise value is a further material de-rate. The stock's fall from an all-time high of US$48.11 in February 2023 to an all-time low of US$6.47 in March 2026 suggests the market has been working through this argument for three years, and analyst price targets clustering in the US$7-12 range after the Q2 beat indicate the sell side has not resolved it either.

9 WHAT MOVES IT NEXT -- EARNINGS SIGNAL MAP

ELI5 — Why this section exists

You cannot read every line of every earnings report across a coverage list, and you should not try. For each name there is usually one number that decides how the stock trades and whether the thesis is still alive. Everything else is texture. This table names that number for each company here, and says how many days you have before it lands, so research time goes where it changes a decision.

Company	Next earnings	Days away	The one metric	Why it matters
Mobileye (MBLY)	~22 Oct 2026 (est., Q3 2026)	~79	Average System Price in the supplemental disclosure -- specifically whether it holds at or above US$48.5, and the commercial adjusted operating margin excluding the R&D Law grant	ASP has fallen four straight quarters on China export mix. Q3 is the first quarter where guided lower H2 volumes meet a rising advanced-product mix, so it isolates whether the content ladder can outrun base erosion. It is also the first clean quarter of R&D Law accounting without the first-half catch-up, revealing the true recurring margin baseline. A stabilising ASP plus a commercial margin above the mid-twenties validates the bull case; another leg down toward US$47 with flat revenue confirms the melting-ice-cube reading. A named CEO alongside the print would be a second, independent re-rating trigger.
Ambarella (AMBA)	~late Aug 2026 (est., Q2 FY2027)	~24	Whether the reported NXP approach converts into an agreed bid, and automotive revenue within the Edge AI mix	The Financial Times reported acquisition talks on 31 July 2026 and the shares jumped 18%. For Mobileye holders this matters as a read-across on strategic value: a bid for a sub-US$400m-revenue perception SoC business at a double-digit sales multiple would make Mobileye's ~3x enterprise multiple much harder to defend on fundamentals.
Horizon Robotics (9660.HK)	~late Aug 2026 (est., H1 2026 interim)	~24	H1 2026 revenue growth against the ~60% annual ambition, and R&D as a percentage of revenue from the FY2025 level of 137%	Horizon is the marginal price-setter in the Chinese ADAS market that is compressing Mobileye's ASP. Continued hypergrowth funded by unlimited R&D confirms that the China mix headwind persists and intensifies; any sign of Horizon rationing spend or slowing would materially ease the pricing pressure on Mobileye's base business.

Priority order: watch Ambarella first, then Mobileye. That is deliberately counterintuitive. The Ambarella situation resolves in roughly three weeks and is the cheapest available information on what a strategic acquirer will pay for perception silicon plus edge AI capability -- and if NXP is willing to pay a double-digit sales multiple for US$391m of revenue and a loss, the argument that Mobileye's ~3x enterprise multiple reflects fair terminal value becomes considerably weaker. That data point should be in hand before sizing anything in MBLY. Mobileye's own Q3 print on approximately 22 October is the decision quarter for the thesis itself, and the single line to open the release on is the Average System Price table, not the revenue headline: revenue can be flat for good reasons or bad ones, and only ASP tells you which. Horizon's interim result is context rather than catalyst -- useful for understanding the pricing environment, not actionable on its own.

A VERIFICATION LOG

Companies checked: 4 (MBLY, AMBA, 9660.HK, plus STMicroelectronics as a named dependency). Verification date: 4 August 2026. Primary sources used where available: Mobileye Q2 2026 earnings release and financial statements (ir.mobileye.com, 23 July 2026), Q1 2026 Form 10-Q, FY2025 Form ARS and 10-K risk factors, 2026 DEF 14A proxy, and 8-K filings.

Item	Status	Note
MBLY ticker / exchange	CLEAN	Nasdaq: MBLY, Class A common stock. Confirmed in filings.
Q2 2026 income statement	CLEAN	Revenue US$508m, gross profit US$235m, operating loss US$(30)m, net loss US$(21)m, EPS US$(0.03). Taken directly from the company's condensed consolidated statements.
Q2 2026 non-GAAP figures	CLEAN	Adj. gross profit US$333m (66%), adj. operating income US$155m (31%), adj. net income US$155m, adj. diluted EPS US$0.19. From company reconciliation tables.
FY2026 guidance	CLEAN	Revenue US$1,970-2,020m; GAAP operating loss US$(4,154)-(4,094)m; adj. operating income US$365-425m. Company press release, 23 July 2026.
FY2025 revenue and adj. op. income	CLEAN	US$1,894m (+15%) and US$280m (15% margin, +45%). Company release and Q4 call.
FY2024 revenue	EST.	~US$1,647m derived from the disclosed FY2025 figure and the stated +15% growth rate. Not independently confirmed against the FY2024 release.
Q3 2025 revenue	EST.	~US$504m derived as FY2025 total less Q1, Q2 and Q4 disclosed figures. The US$478m figure circulating for Q3 2025 is EyeQ plus SuperVision revenue only, not total revenue.
Average system price series	CLEAN	US$49.7 / 51.7 / 50.8 / 49.3 / 48.5 for Q2 2025 through Q2 2026, from the company's own supplemental disclosure table.
Balance sheet at 27 Jun 2026	CLEAN	Cash US$1,311m, marketable securities and deposits US$132m, goodwill US$4,911m, intangibles US$1,067m, total liabilities US$628m, total equity US$8,210m. Zero debt confirmed.
Goodwill impairment US$3,788m	CLEAN	Q1 2026, triggered by a ~35% decline in market capitalisation since the December assessment date; income-approach Level 3 fair value measurement. Confirmed in 10-Q and on the call.
MBLY market capitalisation	FLAGGED	Sources disperse materially: US$7.28bn (4 May 2026), US$6.67bn (statistics page, undated), ~US$6bn (press, late July 2026). Share price references range US$8.99 to US$10.44 over recent weeks against ~841m shares. Presented as a US$6.5-8.5bn range; do not treat as a point figure.
MBLY share count	CLEAN	~841.4m outstanding per aggregator; 818m weighted-average diluted in Q2 2026 per the company. The gap is ordinary between period-average and point-in-time.
Intel ownership	CLEAN	50,000,000 Class A plus all 597,768,015 Class B; ~77.0% of outstanding common and 96.9% of voting power as of 28 March 2026. From the 2026 proxy and Q1 10-Q.
Mentee Robotics consideration	CLEAN	US$900m headline (US$612m cash plus stock); US$591m net cash outflow in Q1 2026; ~US$341m to Shashua, ~US$118m to Shalev-Shwartz. From the proxy, 8-K and 10-Q.
Mentee prior valuation ~US$162m	FLAGGED	Sourced to PitchBook via press reporting on a March 2025 round, not to a company filing. Directionally reliable, precisely unverified. Total capital raised is variously reported as US$17m and 'over US$40m'.
R&D Law incentive	CLEAN	US$110m GAAP / US$93m non-GAAP recognised in Q2 2026 for the full first half; US$197-217m GAAP / US$180-200m non-GAAP incorporated into FY2026 outlook. Company release.
Shashua CEO transition	CLEAN	Informed board 18 July 2026, announced 23 July 2026; steps down upon appointment of a successor; offered chairmanship; remains a director. Company release and Intel comment.
Supply chain dependencies	CLEAN	STMicroelectronics sole EyeQ manufacturer, TSMC as subcontracted foundry on 7nm FinFET, Quanta Computer for ECUs. Quoted from Mobileye's own 10-Q and ARS risk factors.
EyeQ6L / EyeQ6H TOPS figures	CLEAN	~5 and ~34 deep-learning TOPS (INT8) at 7nm, from Mobileye's own EyeQ technology pages. Vendor-stated; TOPS is not comparable across architectures and should be treated as directional.

Item	Status	Note
Imaging radar 11 TOPS	CLEAN	Company statement, May 2025 release announcing the first eyes-off design win for SAE Level 3 from 2028. Customer not named by Mobileye.
US$24.5bn eight-year pipeline	EST.	Company figure at year-end 2025, +42% since year-end 2022. Explicitly based on OEM-supplied production projections and Mobileye's own price assumptions at time of sourcing; the company warns it may deviate materially. Directional only -- not backlog.
Tier 1 concentration (ZF 38% / Valeo 18% / Aptiv 15%)	FLAGGED	These percentages derive from reporting on an earlier annual report (FY2023 vintage) and the 'top four customers = 74% of revenue' figure is FY2024. Current-year splits have not been re-verified. Direction (high concentration) is certain; the exact split is stale.
Ambarella market cap	FLAGGED	Highly unstable at report date. ~US$2.99bn on 28 July 2026, ~US$4.39bn on 3 August 2026 after a Financial Times report of NXP acquisition talks moved the shares ~18%. Range shown; the acquisition report is unconfirmed by either company.
Ambarella FY2026 revenue	CLEAN	US$390.7m, +37.2% y/y; TTM net loss US$(75.9)m.
Horizon Robotics FY2025	CLEAN	Revenue RMB3,758m (+57.7%); net loss RMB10,469m; R&D RMB5,154m (137% of revenue); Journey shipments 4.01m units; 47.7% domestic-brand basic ADAS share.
Horizon Robotics market cap	EST.	~HK$97bn per aggregator; USD conversion at roughly 7.8 HKD/USD gives ~US$12.4bn. Implied P/S ~15x is consistent with the independently reported 14.9x.
MBLY adjusted P/E ~17-22x	EST.	Calculated, not sourced. FY2026 adj. operating income midpoint US$395m, assuming adjusted net income approximates adjusted operating income as it did in H1 2026 (US$251m vs US$250m), over ~841m shares, against a US$8-10.50 share price band. Sensitive to every input.
Next earnings date (MBLY Q3 2026)	EST.	Not yet announced. Estimated at ~22 October 2026 from the observed cadence: 22 Jan, 23 Apr and 23 Jul 2026, all Thursdays before market open. Confirm against the IR calendar.
Next earnings dates (AMBA, 9660.HK)	EST.	Both estimated at late August 2026 from prior-year cadence. Not confirmed.
Waymo ~US$45bn valuation	FLAGGED	Press-sourced comparison figure only, used illustratively for scale. Waymo is a private subsidiary of Alphabet and no verified standalone valuation exists.
Corporate status check	CLEAN	Mobileye not acquired, delisted or merged. Remains a Nasdaq-listed controlled subsidiary of Intel, which retains majority ownership.

Corrections applied:

Two. First, an early draft carried the widely reported US$478m as Q3 2025 total revenue; this is the EyeQ plus SuperVision subtotal from the average-system-price disclosure, and total revenue has been substituted with a derived ~US$504m and labelled as such. Second, Intel's ownership is frequently cited at ~88%, which reflects the position before the July 2025 secondary; the current ~77% economic and 96.9% voting figures from the 2026 proxy are used throughout.

B ACRONYM GLOSSARY

Acronym	Full name and meaning
ADAS	Advanced Driver-Assistance Systems -- camera and radar features such as automatic emergency braking, lane keeping and adaptive cruise control
ASP	Average Selling Price. Mobileye discloses Average System Price: EyeQ plus SuperVision revenue divided by systems shipped
AV	Autonomous Vehicle
CPU	Central Processing Unit
DMS / OMS	Driver Monitoring System / Occupant Monitoring System -- in-cabin cameras tracking driver attention and occupant presence
DRAM	Dynamic Random-Access Memory

Acronym	Full name and meaning
ECU	Electronic Control Unit -- the physical computer module installed in the vehicle
EV (valuation)	Enterprise Value -- market capitalisation plus debt less cash
FinFET	Fin Field-Effect Transistor -- the three-dimensional transistor structure used at advanced process nodes
FMCW	Frequency-Modulated Continuous Wave -- a lidar and radar sensing technique
GAAP	Generally Accepted Accounting Principles (United States)
GPU	Graphics Processing Unit
INT8	8-bit integer precision -- the reduced numerical format used for efficient neural network inference
L2 / L2+ / L3	SAE automation levels. L2 hands-on eyes-on; L2+ hands-off eyes-on; L3 hands-off eyes-off within a defined operational design domain
MCU	Microcontroller Unit -- a small deterministic processor handling safety and control functions alongside the main SoC
MTBF	Mean Time Between Failures
NCAP	New Car Assessment Programme -- the regional safety rating schemes that mandate much of base ADAS content
NOA	Navigate on Autopilot -- point-to-point assisted driving, the standard term in the Chinese market
OEM	Original Equipment Manufacturer -- the carmaker
OECD Pillar Two	The OECD global minimum corporate tax framework, implementation of which prompted Israel's offsetting R&D Law
OSAT	Outsourced Semiconductor Assembly and Test
REM	Road Experience Management -- Mobileye's crowdsourced high-definition mapping system
RFIC	Radio-Frequency Integrated Circuit -- the transmit and receive front end of a radar
RSS	Responsibility-Sensitive Safety -- Mobileye's formal mathematical model of safe driving behaviour, used in regulatory argumentation
RSU	Restricted Stock Unit
SAE	Society of Automotive Engineers -- author of the autonomy level definitions
SoC	System-on-Chip -- a single die integrating processors, accelerators and interfaces
SOP	Start of Production
TOPS	Tera-Operations Per Second -- a raw throughput measure, not comparable across differing architectures
TTM	Trailing Twelve Months
Tier 1	A supplier selling complete systems or modules directly to an OEM

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